

AS level economics

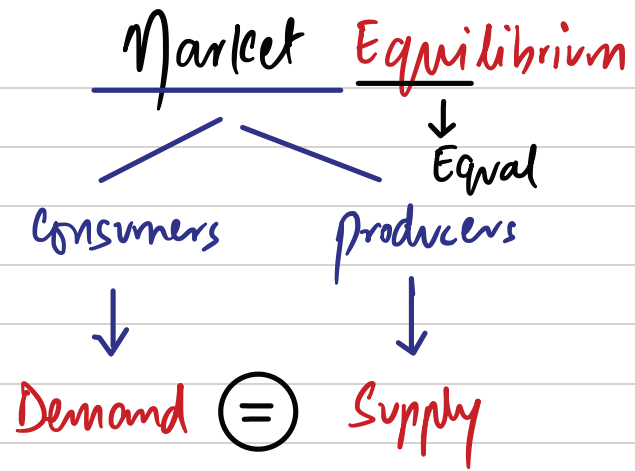
Chp:- Demand and Supply

Topic:- Equilibrium and Dis-equilibrium

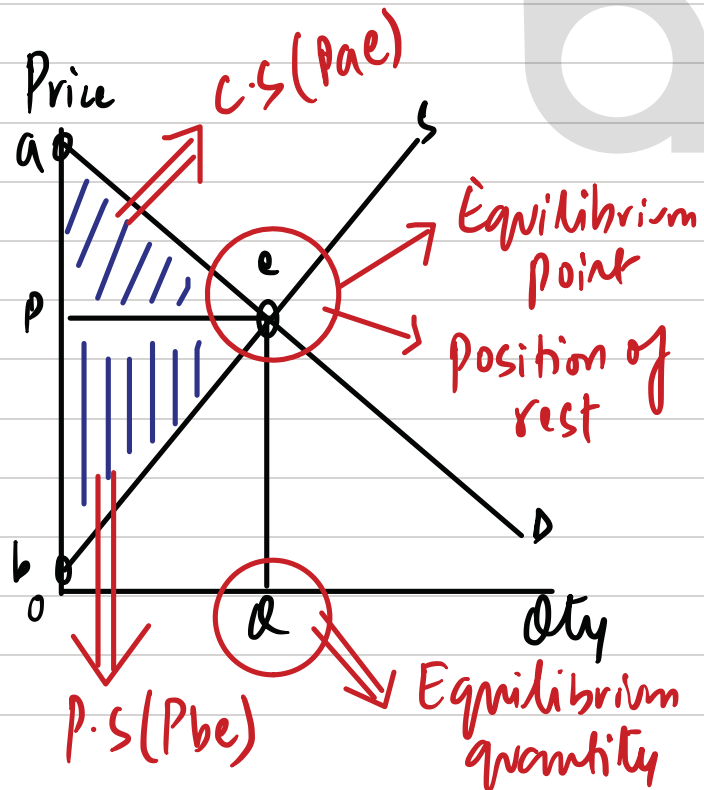
aliph

Zarak
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Remember :- X-MEN!



Note:- Equilibrium is a position of rest, where demand and supply are equal, that is no pressure on price, neither shortage (where quantity demand exceeds quantity supplied) nor surplus (where quantity supplied exceeds quantity demand).

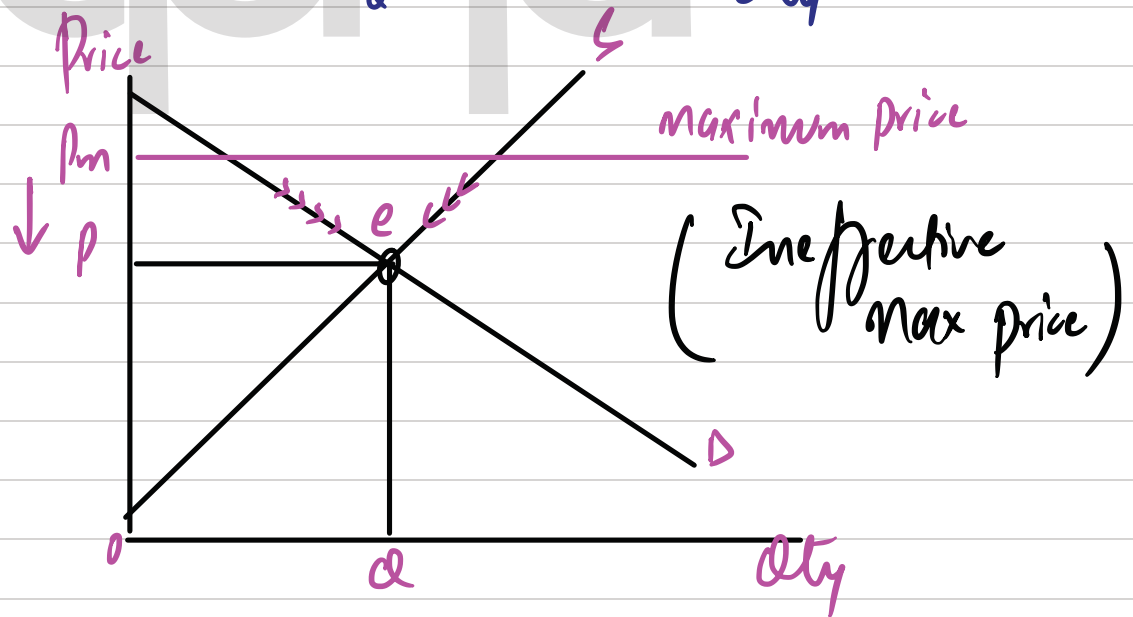
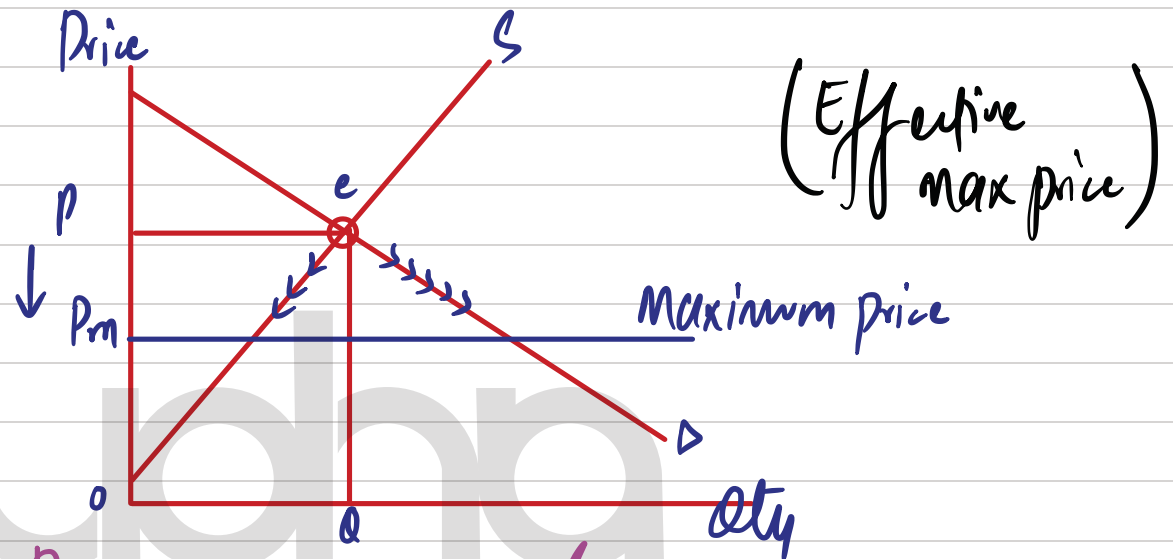
Market equilibrium, in other words, is price mechanism, where prices are determined by the forces of demand and supply, where prices provide signal to the producer to allocate resources in profit maximizing manner.

Dis-equilibrium $\Rightarrow$ Existence of shortage ($Q_d > Q_s$) or surplus ($Q_s > Q_d$)

$D \neq S$

① Maximum price

- ★ Imposed by government
- ★ For consumers
- ★ making goods affordable
- ★ Necessity goods
- ★ Reducing expenditure of consumers
- ★ Must be imposed below the equilibrium

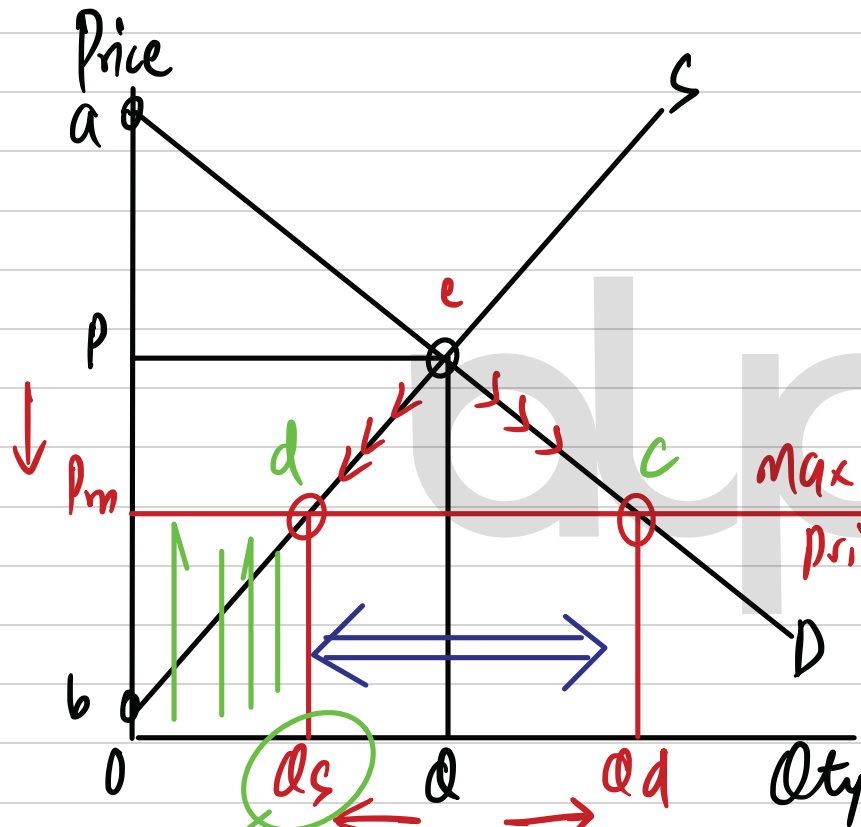


Note:- Maximum price is a price control, that is alternative to price mechanism, imposed by government with an objective of providing benefits to consumers by lowering the price of necessity goods, and setting a limit so that it can't be raised, causing a fall in expenditure of consumers and making goods affordable.

To be effective, maximum price must be imposed below the equilibrium, this is how it can't reach back to the equilibrium. But if maximum price is imposed above the equilibrium, it will fall back to equilibrium, as it can't rise from that level but fall, making it ineffective. Maximum price represents, that prices can't rise above that level, but it can fall, thus imposing it above the equilibrium makes it ineffective and thus price mechanism is operational.

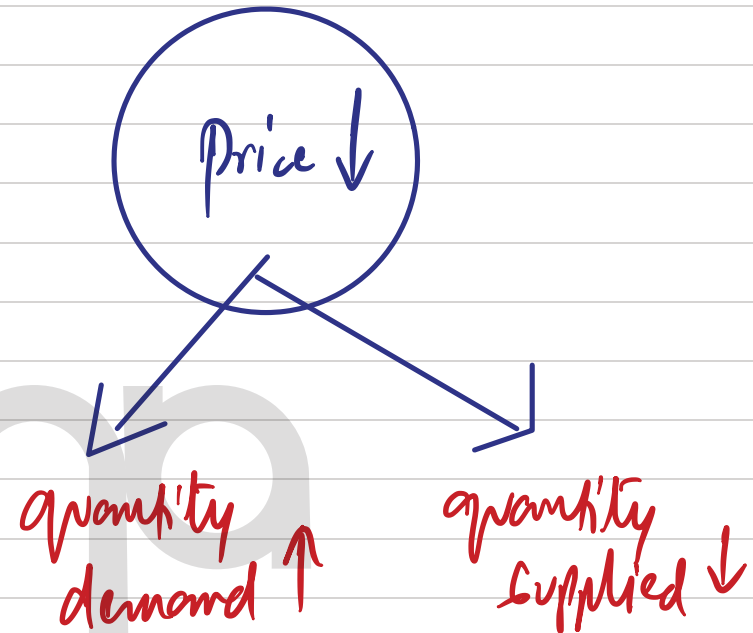
Effects of effective maximum price!

' Q_s here is quantity traded'



Quantity traded!
TR: $OP_m d Q_s$

Shortage / Excess demand /
volume of imports



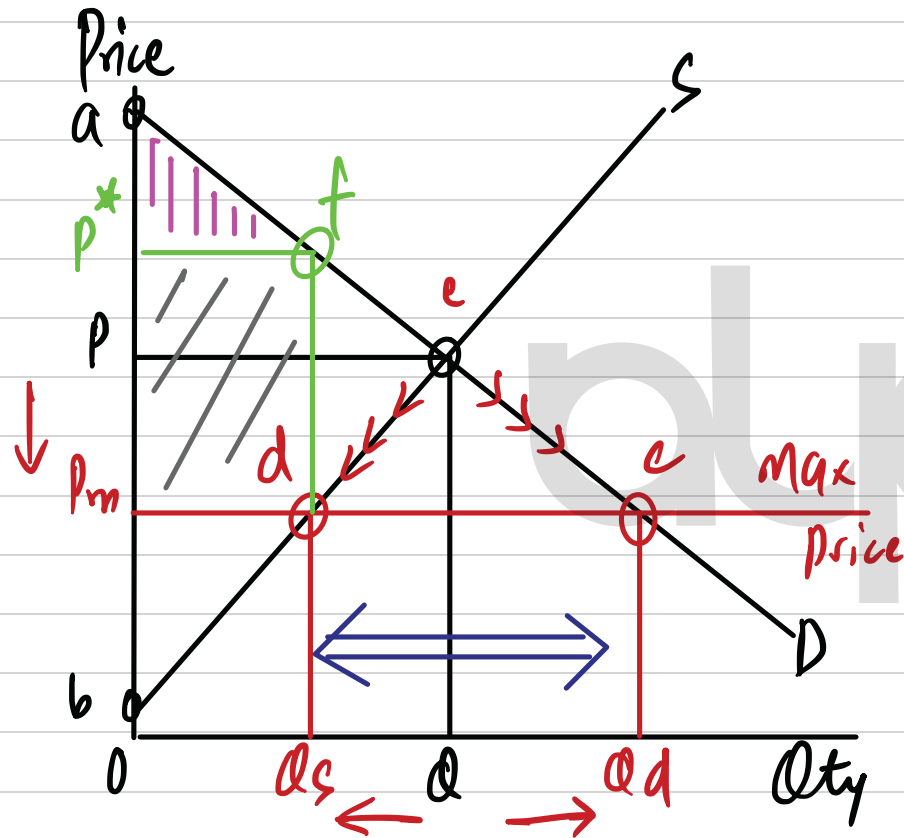
$$Q_d > Q_s$$



Shortage / Excess demand

Domestic Shortage can be full filled through imports

Who gains and who loses!



P^* :- Illegal price at Q_s Qty
 Illegal revenue :- $P_m P^* f d$
 leftover C.S :- $P^* a f$

Advantages

- * First come First serve
- * Expenditure ↓
- * Higher consumer surplus ($P_m a f d$)

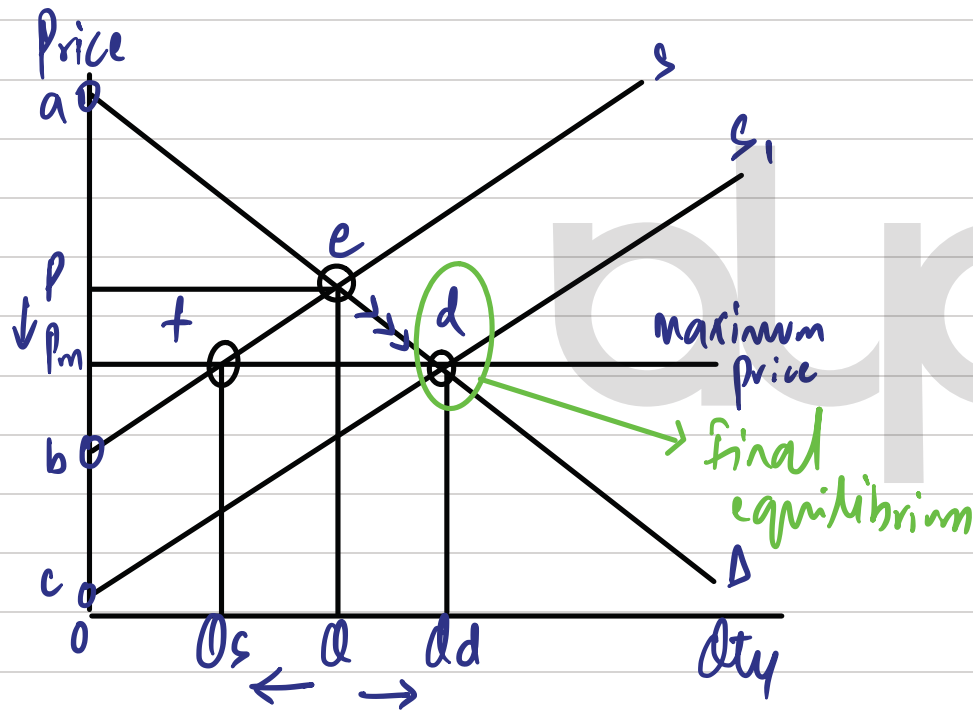
Disadvantages

- * Shortage
- * Illegal selling / Black marketing /
underground economy
↓
High prices charged (C.S ↓)

Note:- Once maximum price is imposed effectively, that is below the equilibrium, it will lower the price, causing extension in quantity demanded and contraction in quantity supplied, resulting in shortage, though some will benefit who are able to purchase at lower price, that is first come first serve, they will receive the benefit of reduced expenditure and higher consumer surplus. Firms are aware regarding the nature of the product and with existence of shortage, they will start charging higher prices for the limited quantity available, resulting in higher revenue but as it is illegal, so it is known as underground economy, this will exploit consumers and their expenditure will rise will lower consumer surplus.

How to solve the issues associated with maximum price?

① Provide Subsidy

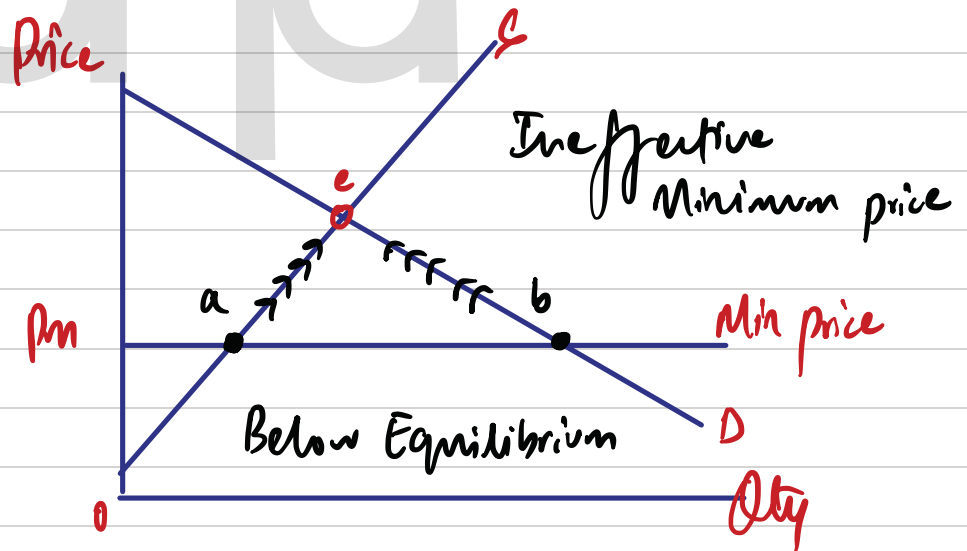
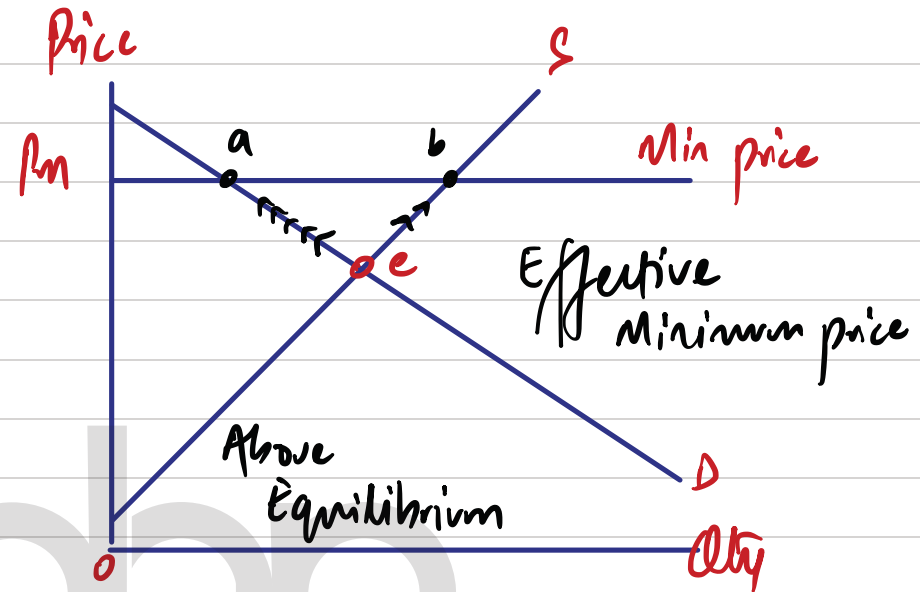


② Remove Maximum price

As it is getting out of control with all the disadvantages associated with maximum price, government can simply reduce the maximum price and let the market be in control, that is back to price mechanism. Once maximum price is removed, shortage will be eliminated by the rise in price and equilibrium will be restored.

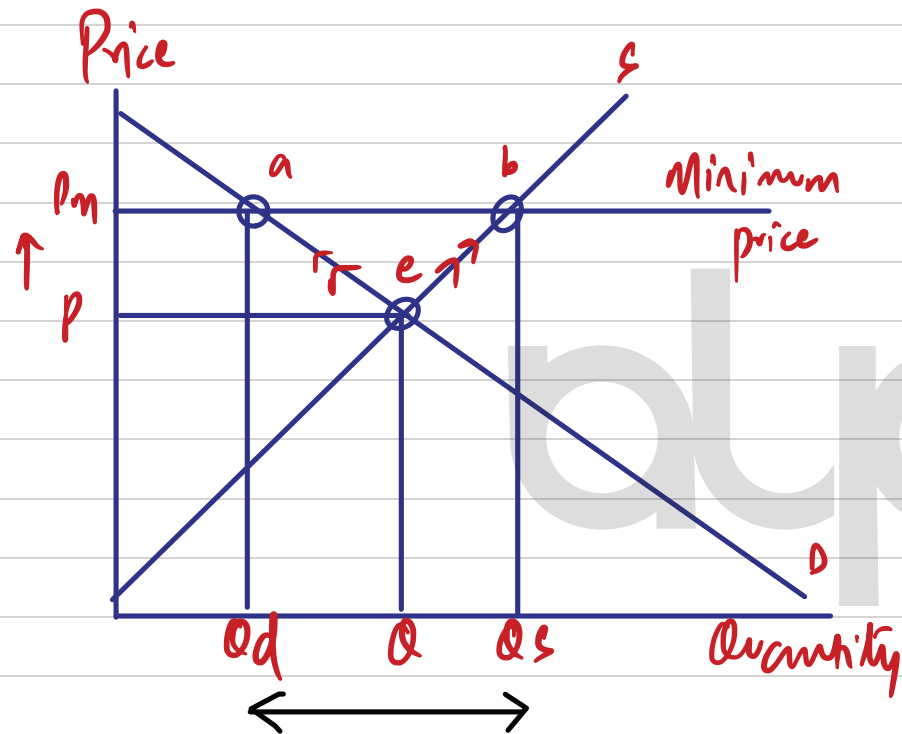
2 Minimum price

- Imposed by government
- To protect farmer's income
- Stability in their income
- Setting higher price
- Price $\uparrow$ QST TR $\uparrow$
- Effective:- Above Equilibrium
- Ineffective:- Below Equilibrium

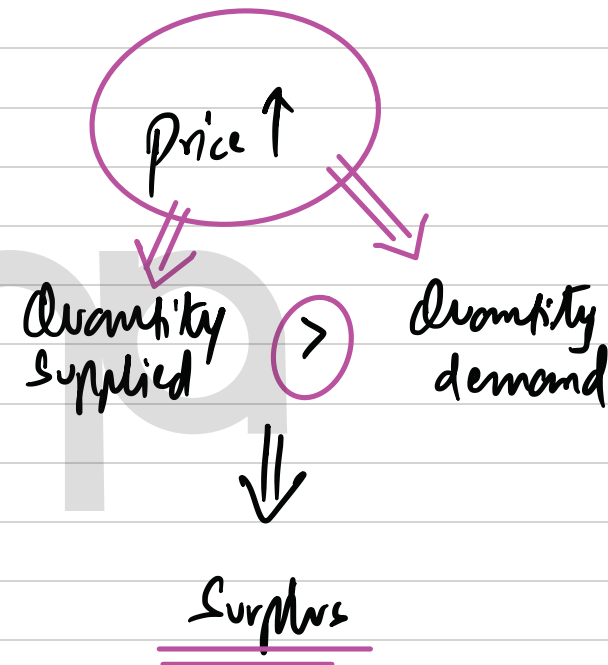


Note:- To be effective, minimum price must be imposed above the equilibrium so that it can't fall back and it is maintained at higher price level to benefit farmers. It will be ineffective if imposed below the equilibrium as minimum price represents that atleast that level of price is supposed to be maintained, thus it can't fall but can rise, so if imposed below the equilibrium, it will reach back to equilibrium resulting in price mechanism, making price control ineffective.

Once minimum price is imposed effectively!

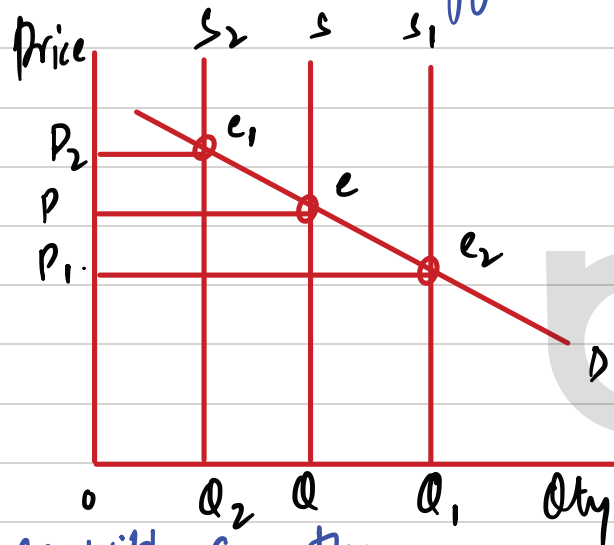


Surplus /
Excess supply /
volume of exports



Buffer stock schemes

If a market is characterised by wide fluctuations in prices, such as agricultural markets, a government could try to bring about price stabilisation by intervening through what is called a buffer stock scheme.



A government may decide to intervene in a market to stabilise prices. This is known as a buffer stock system. Diagram shows what happens with such a system. When supply is high, as with S_1 the government purchases some of the stock and prevents it from entering the market. The effect of this intervention is to prevent the price falling too low, that is, it is kept at OP rather than being allowed to fall to OP_1 . When supply is low,

as with S_2 , the government releases some of the stock and allows it to enter the market. The effect of this intervention is to prevent the price rising too high, that is, it is kept at OP rather than being allowed to rise to OP_2 . Government intervention through a buffer stock scheme brings about price stabilisation in a market, with price maintained at or close to OP and quantity maintained at or close to OQ .

Questions

Marks:- 40 !

- Q1 Define Equilibrium and dis-equilibrium? (6) (Draw diagrams)
- Q2 Explain whether maximum price will be effective above or below the equilibrium? (8) (2 diagrams)
- Q3 Discuss the advantages and disadvantages associated with maximum price and whether it is likely to be effective? (12) (Conclusion to be given)
- Q4 Explain whether minimum price will be effective above or below the equilibrium? (8) (2 diagrams)
- Q5 Explain the effects of minimum price, once imposed above the equilibrium? (6)
- ↳ involve concept of buffer stock schemes
- ⇓
'Diagram showing surplus'